Since there was no way to tell which direction the stock would break out of the triangle, she waited for the breakout. “It was a tennis match with the price ball bouncing up and down in the triangle. Then the stock gapped out the top of the pattern. Yippee! I felt as if I had won the point.”

Was the gap a breakaway gap or an exhaustion gap? “The answer was critical.” Because the gap appeared just after a region of consolidation, it was most likely a breakaway gap, so price would continue rising, but how far?

She hoped the triangle represented the halfway mark of an uptrend. She knew that symmetrical triangles sometimes act as half-staff patterns, so she expected a climb to 28 (see the measure rule for symmetrical triangles). “Yes, it was a long shot but one worth taking.” Her calculated price target of 25.38 was met the day price jumped out of the triangle.

About a week later, the stock reached a new high and then fell back. “When price closed the gap in the first part of September, I decided to sell. Fortunately, the next day price zoomed upward and I was able to sell at 24.50, near the daily high of 25.13. That felt good.”

After that, the stock tumbled back to the middle of the corrective phase, right in the center of the support zone. Then the stock recovered. “Did I sell too soon? I looked at the chart 6 months later and saw price hovering in the $15 range.” She winked at me. “I did good.”